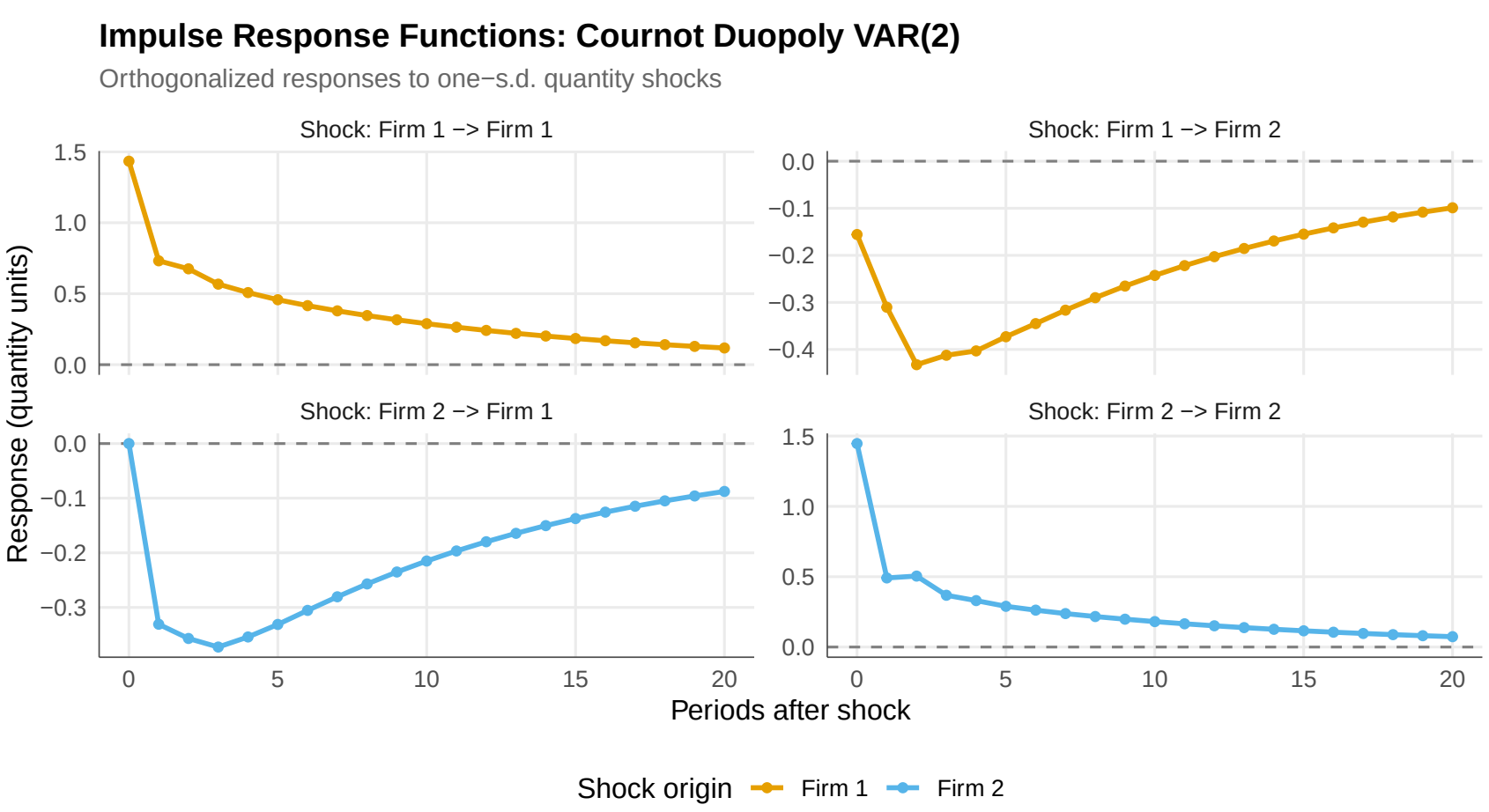
Impulse Response Functions: Cournot Duopoly VAR(2)
Orthogonalized responses to one−s.d. quantity shocks
Shock: Firm 1 −> Firm 1
Shock: Firm 1 −> Firm 2
Shock: Firm 2 −> Firm 1
Shock: Firm 2 −> Firm 2
Response (quantity units)
Periods after shock
Shock origin
Firm 1
Firm 2